

**SUBSTITUTE FOR
SENATE BILL NO. 877**

A bill to make, supplement, and adjust appropriations for various state departments and agencies, the judicial branch, and the legislative branch for the fiscal year ending September 30, 2026; to provide for certain conditions on appropriations; to provide for the expenditure of the appropriations; and to repeal acts and parts of acts.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

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PART 1

LINE-ITEM APPROPRIATIONS
FOR FISCAL YEAR 2025-2026

Sec. 101. There is appropriated for various state departments and agencies, the judicial branch, and the legislative branch to supplement appropriations for the fiscal year ending September 30, 2026, from the following funds:



APPROPRIATION SUMMARY

Full-time equated classified positions 53.8

GROSS APPROPRIATION \$ 1,036,915,000

Interdepartmental grant revenues:

Total interdepartmental grants and
intradepartmental transfers 500,000**ADJUSTED GROSS APPROPRIATION** \$ 1,036,415,000

Federal revenues:

Total federal revenues 533,531,800

Special revenue funds:

Total local revenues 421,800

Total private revenues 746,000

Total other state restricted revenues 554,349,900

State general fund/general purpose \$ (52,634,500)**Sec. 102. DEPARTMENT OF CIVIL RIGHTS****(1) APPROPRIATION SUMMARY**

Full-time equated classified positions 0.0

GROSS APPROPRIATION \$ 250,000

Interdepartmental grant revenues:

Total interdepartmental grants and
intradepartmental transfers 0**ADJUSTED GROSS APPROPRIATION** \$ 250,000

Federal revenues:

Total federal revenues 250,000

Special revenue funds:

Total local revenues 0

Total private revenues 0

Total other state restricted revenues 0



1	State general fund/general purpose	\$	0
2	(2) CIVIL RIGHTS OPERATIONS		
3	Complaint investigation and enforcement	\$	250,000
4	GROSS APPROPRIATION	\$	250,000
5	Appropriated from:		
6	Federal revenues:		
7	EEOC, state and local antidiscrimination agency		
8	contracts		250,000
9	State general fund/general purpose	\$	0
10	Sec. 103. DEPARTMENT OF ENVIRONMENT, GREAT		
11	LAKES, AND ENERGY		
12	(1) APPROPRIATION SUMMARY		
13	Full-time equated classified positions	0.0	
14	GROSS APPROPRIATION	\$	238,586,000
15	Interdepartmental grant revenues:		
16	Total interdepartmental grants and		
17	intradepartmental transfers		0
18	ADJUSTED GROSS APPROPRIATION	\$	238,586,000
19	Federal revenues:		
20	Total federal revenues		187,845,000
21	Special revenue funds:		
22	Total local revenues		0
23	Total private revenues		485,000
24	Total other state restricted revenues		50,256,000
25	State general fund/general purpose	\$	0
26	(2) DEPARTMENTAL ADMINISTRATION AND SUPPORT		
27	Executive direction	\$	4,300,000
28	GROSS APPROPRIATION	\$	4,300,000



1	Appropriated from:		
2	Federal revenues:		
3	Federal funds		1,300,000
4	Inflation reduction act		3,000,000
5	State general fund/general purpose	\$	0
6	(3) WATER RESOURCES DIVISION		
7	Federal - Great Lakes remedial action plan		
8	grants	\$	1,162,000
9	Great Lakes restoration initiative		6,500,000
10	Water quality programs		1,331,000
11	GROSS APPROPRIATION	\$	8,993,000
12	Appropriated from:		
13	Federal revenues:		
14	Federal funds		6,500,000
15	Infrastructure investment and jobs act fund		2,493,000
16	State general fund/general purpose	\$	0
17	(4) REMEDIATION AND REDEVELOPMENT DIVISION		
18	Environmental cleanup and redevelopment program	\$	25,000,000
19	State sites cleanup program		25,256,000
20	GROSS APPROPRIATION	\$	50,256,000
21	Appropriated from:		
22	Special revenue funds:		
23	Cleanup and redevelopment fund		25,000,000
24	State site cleanup fund		25,256,000
25	State general fund/general purpose	\$	0
26	(5) MATERIALS MANAGEMENT DIVISION		
27	Energy programs	\$	4,125,000
28	Material management programs		8,054,000

1	GROSS APPROPRIATION	\$	12,179,000
2	Appropriated from:		
3	Federal revenues:		
4	Federal funds		1,163,000
5	Inflation reduction act		8,531,000
6	Infrastructure investment and jobs act fund		2,000,000
7	Special revenue funds:		
8	Private funds		485,000
9	State general fund/general purpose	\$	0
10	(6) WATER INFRASTRUCTURE		
11	Water state revolving funds	\$	123,273,000
12	GROSS APPROPRIATION	\$	123,273,000
13	Appropriated from:		
14	Federal revenues:		
15	Infrastructure investment and jobs act fund		123,273,000
16	State general fund/general purpose	\$	0
17	(7) ONE-TIME APPROPRIATIONS		
18	PFAS and emerging contaminants	\$	39,585,000
19	GROSS APPROPRIATION	\$	39,585,000
20	Appropriated from:		
21	Federal revenues:		
22	Infrastructure investment and jobs act fund		39,585,000
23	State general fund/general purpose	\$	0
24	Sec. 104. DEPARTMENT OF HEALTH AND HUMAN		
25	SERVICES		
26	(1) APPROPRIATION SUMMARY		
27	Full-time equated classified positions	53.8	
28	GROSS APPROPRIATION	\$	596,665,900



1	Interdepartmental grant revenues:		
2	Total interdepartmental grants and		
3	intradepartmental transfers		0
4	ADJUSTED GROSS APPROPRIATION	\$	596,665,800
5	Federal revenues:		
6	Capped federal revenues		274,100
7	Social security act, temporary assistance for		
8	needy families		(7,624,600)
9	Total other federal revenues		351,447,600
10	Special revenue funds:		
11	Total local revenues		421,800
12	Total private revenues		261,000
13	Total other state restricted revenues		309,520,500
14	State general fund/general purpose	\$	(57,634,500)
15	(2) DEPARTMENTAL ADMINISTRATION AND SUPPORT		
16	Coordinated children's healthcare policy and		
17	supports	\$	1,000,000
18	GROSS APPROPRIATION	\$	1,000,000
19	Appropriated from:		
20	State general fund/general purpose	\$	1,000,000
21	(3) CHILDREN'S SERVICES AGENCY - CHILD WELFARE		
22	Adoption subsidies	\$	(3,486,300)
23	Child care fund		19,234,200
24	Foster care payments		(1,006,200)
25	Guardian assistance program		(283,500)
26	Strong families/safe children		500,000
27	GROSS APPROPRIATION	\$	14,958,200
28	Appropriated from:		



1	Federal revenues:		
2	Capped federal revenues		(40,900)
3	Social security act, temporary assistance for		
4	needy families		(8,007,100)
5	Total other federal revenues		(21,622,100)
6	Special revenue funds:		
7	Local funds - county chargeback		823,400
8	Private - collections		273,100
9	Total other state restricted revenues		100,000
10	State general fund/general purpose	\$	43,431,800
11	(4) PUBLIC ASSISTANCE		
12	Family independence program	\$	11,846,300
13	Food assistance program benefits		(121,721,100)
14	State disability assistance payments		(688,300)
15	State supplementation		(215,600)
16	GROSS APPROPRIATION	\$	(110,778,700)
17	Appropriated from:		
18	Federal revenues:		
19	Total other federal revenues		(121,721,100)
20	Special revenue funds:		
21	Child support collections		1,437,000
22	Public assistance recoupment revenue		(258,000)
23	Supplemental security income recoveries		(200)
24	State general fund/general purpose	\$	9,763,600
25	(5) LOCAL OFFICE OPERATIONS AND SUPPORT		
26	SERVICES		
27	Contractual services, supplies, and materials	\$	1,033,000
28	GROSS APPROPRIATION	\$	1,033,000

1	Appropriated from:		
2	Federal revenues:		
3	Total other federal revenues		301,900
4	State general fund/general purpose	\$	731,100
5	(6) BEHAVIORAL HEALTH PROGRAM ADMINISTRATION		
6	AND SPECIAL PROJECTS		
7	Behavioral health program administration	\$	(500,000)
8	Family support subsidy		382,500
9	Michigan clinical consultation and care		500,000
10	GROSS APPROPRIATION	\$	382,500
11	Appropriated from:		
12	Federal revenues:		
13	Social security act, temporary assistance for		
14	needy families		382,500
15	State general fund/general purpose	\$	0
16	(7) BEHAVIORAL HEALTH SERVICES		
17	Autism services	\$	52,089,900
18	Behavioral health community supports and		
19	services		8,300,000
20	Certified community behavioral health clinic		
21	demonstration		0
22	Federal mental health block grant		3,000,000
23	Healthy Michigan plan - behavioral health		(66,512,000)
24	Medicaid mental health services		25,903,200
25	Medicaid substance use disorder services		(13,849,200)
26	Nursing home PAS/ARR-OBRA		3,600,000
27	GROSS APPROPRIATION	\$	12,531,900
28	Appropriated from:		



1	Federal revenues:		
2	Total other federal revenues		(11,843,000)
3	State general fund/general purpose	\$	24,374,900
4	(8) STATE PSYCHIATRIC HOSPITALS AND FORENSIC		
5	MENTAL HEALTH SERVICES		
6	Full-time equated classified positions	53.8	
7	Caro Regional Mental Health Center -		
8	psychiatric hospital - adult	\$	4,294,600
9	Center for Forensic Psychiatry		12,719,400
10	Kalamazoo Psychiatric Hospital - adult		3,601,800
11	Southeast Michigan state psychiatric hospital -		
12	psychiatric hospital - adult, children, and		
13	adolescents--FTEs	53.8	7,894,400
14	Walter P. Reuther Psychiatric Hospital - adult,		
15	children, and adolescents		(20,096,200)
16	GROSS APPROPRIATION	\$	8,414,000
17	Appropriated from:		
18	Federal revenues:		
19	Total other federal revenues		(10,765,800)
20	State general fund/general purpose	\$	19,179,800
21	(9) HEALTH AND HUMAN SERVICES POLICY AND		
22	INITIATIVES		
23	Domestic violence prevention and treatment	\$	195,700
24	Rape prevention and services		119,300
25	GROSS APPROPRIATION	\$	315,000
26	Appropriated from:		
27	Federal revenues:		
28	Capped federal revenues		315,000

1	State general fund/general purpose	\$	0
2	(10) LOCAL HEALTH AND ADMINISTRATIVE SERVICES		
3	Local health services	\$	575,000
4	Violence prevention		3,250,000
5	GROSS APPROPRIATION	\$	3,825,000
6	Appropriated from:		
7	Federal revenues:		
8	Total other federal revenues		575,000
9	Special revenue funds:		
10	Total other state restricted revenues		3,250,000
11	State general fund/general purpose	\$	0
12	(11) FAMILY HEALTH SERVICES		
13	Dental programs	\$	0
14	GROSS APPROPRIATION	\$	0
15	Appropriated from:		
16	Federal revenues:		
17	Total other federal revenues		83,000
18	State general fund/general purpose	\$	(83,000)
19	(12) CHILDREN'S SPECIAL HEALTH CARE SERVICES		
20	Children's special health care services		
21	administration	\$	12,000
22	Medical care and treatment		14,354,800
23	GROSS APPROPRIATION	\$	14,366,800
24	Appropriated from:		
25	Federal revenues:		
26	Total other federal revenues		9,373,700
27	Special revenue funds:		
28	Total private revenues		12,000

1	State general fund/general purpose	\$	4,981,100
2	(13) HEALTH SERVICES		
3	Adult home help services	\$	(3,924,400)
4	Ambulance services		96,000
5	Auxiliary medical services		(743,700)
6	Dental services		4,361,300
7	Federally qualified health centers		30,112,200
8	Health plan services		408,122,300
9	Healthy Michigan plan		143,853,300
10	Home health services		12,614,700
11	Hospice services		47,744,700
12	Hospital services and therapy		28,684,600
13	Integrated care organizations		134,955,100
14	Long-term care services		(48,484,300)
15	Medicaid home- and community-based services		
16	waiver		(61,126,500)
17	Medicare premium payments		(9,281,100)
18	Personal care services		(8,900)
19	Pharmaceutical services		47,801,000
20	Physician services		(83,560,700)
21	Program of all-inclusive care for the elderly		19,893,400
22	School-based services		(34,850,800)
23	Special Medicaid reimbursement		4,329,200
24	Transportation		5,030,700
25	GROSS APPROPRIATION	\$	645,618,100
26	Appropriated from:		
27	Federal revenues:		
28	Total other federal revenues		502,066,000

1	Special revenue funds:		
2	Total local revenues		(401,600)
3	Total private revenues		(24,100)
4	Michigan merit award trust fund		12,999,900
5	Total other state restricted revenues		291,991,800
6	State general fund/general purpose	\$	(161,013,900)
7	(14) ONE-TIME APPROPRIATIONS		
8	Community health screenings	\$	(5,000,000)
9	Community health screenings		5,000,000
10	First responder and public safety staff mental		
11	health		100
12	Implementation of maternal health policy		
13	changes		(299,700)
14	Implementation of maternal health policy		299,700
15	Medicaid work requirement grant		5,000,000
16	Underserved healthcare facility project		(1,500,000)
17	Underserved healthcare facility project		1,500,000
18	GROSS APPROPRIATION	\$	5,000,100
19	Appropriated from:		
20	Federal revenues:		
21	Total other federal revenues		5,000,000
22	State general fund/general purpose	\$	100
23	Sec. 105. DEPARTMENT OF INSURANCE AND FINANCIAL		
24	SERVICES		
25	(1) APPROPRIATION SUMMARY		
26	Full-time equated classified positions	0.0	
27	GROSS APPROPRIATION	\$	1,400,000
28	Interdepartmental grant revenues:		



1	Total interdepartmental grants and		
2	intradepartmental transfers		0
3	ADJUSTED GROSS APPROPRIATION	\$	1,400,000
4	Federal revenues:		
5	Total federal revenues		0
6	Special revenue funds:		
7	Total local revenues		0
8	Total private revenues		0
9	Total other state restricted revenues		1,400,000
10	State general fund/general purpose	\$	0
11	(2) INSURANCE AND FINANCIAL SERVICES REGULATION		
12	Financial institutions evaluation	\$	1,400,000
13	GROSS APPROPRIATION	\$	1,400,000
14	Appropriated from:		
15	Special revenue funds:		
16	Deferred presentment services transaction fees		1,400,000
17	State general fund/general purpose	\$	0
18	Sec. 106. DEPARTMENT OF LABOR AND ECONOMIC		
19	OPPORTUNITY		
20	(1) APPROPRIATION SUMMARY		
21	Full-time equated classified positions	0.0	
22	GROSS APPROPRIATION	\$	2,300,000
23	Interdepartmental grant revenues:		
24	Total interdepartmental grants and		
25	intradepartmental transfers		0
26	ADJUSTED GROSS APPROPRIATION	\$	2,300,000
27	Federal revenues:		
28	Total federal revenues		1,200,000



1	Special revenue funds:		
2	Total local revenues		0
3	Total private revenues		0
4	Total other state restricted revenues		100,000
5	State general fund/general purpose	\$	1,000,000
6	(2) EMPLOYMENT SERVICES		
7	Private and occupational distance learning	\$	100,000
8	Wage and hour program		100
9	Wage and hour program		(100)
10	GROSS APPROPRIATION	\$	100,000
11	Appropriated from:		
12	Special revenue funds:		
13	Distance education fund		100,000
14	First responder presumed coverage fund		0
15	State general fund/general purpose	\$	0
16	(3) MICHIGAN STRATEGIC FUND		
17	Arts and cultural program	\$	450,000
18	GROSS APPROPRIATION	\$	450,000
19	Appropriated from:		
20	Federal revenues:		
21	NFAH-NEA, promotion of the arts, partnership		
22	agreements		450,000
23	State general fund/general purpose	\$	0
24	(4) ONE-TIME APPROPRIATIONS		
25	Office of future mobility and electrification	\$	1,000,000
26	State historic preservation office grant		
27	program		750,000
28	GROSS APPROPRIATION	\$	1,750,000



1	Appropriated from:		
2	Special revenue funds:		
3	State historic preservation, national park		
4	service grants		750,000
5	State general fund/general purpose	\$	1,000,000
6	Sec. 107. DEPARTMENT OF LICENSING AND		
7	REGULATORY AFFAIRS		
8	(1) APPROPRIATION SUMMARY		
9	Full-time equated classified positions	0.0	
10	GROSS APPROPRIATION	\$	39,700
11	Interdepartmental grant revenues:		
12	Total interdepartmental grants and		
13	intradepartmental transfers		0
14	ADJUSTED GROSS APPROPRIATION	\$	39,700
15	Federal revenues:		
16	Total federal revenues		39,700
17	Special revenue funds:		
18	Total local revenues		0
19	Total private revenues		0
20	Total other state restricted revenues		0
21	State general fund/general purpose	\$	0
22	(2) OCCUPATIONAL REGULATION		
23	Bureau of professional licensing	\$	39,700
24	GROSS APPROPRIATION	\$	39,700
25	Appropriated from:		
26	Federal revenues:		
27	Federal funds		39,700
28	State general fund/general purpose	\$	0



1	Sec. 108. DEPARTMENT OF NATURAL RESOURCES		
2	(1) APPROPRIATION SUMMARY		
3	Full-time equated classified positions	0.0	
4	GROSS APPROPRIATION	\$	33,849,400
5	Interdepartmental grant revenues:		
6	Total interdepartmental grants and		
7	intradepartmental transfers		0
8	ADJUSTED GROSS APPROPRIATION	\$	33,849,400
9	Federal revenues:		
10	Total federal revenues		0
11	Special revenue funds:		
12	Total local revenues		0
13	Total private revenues		0
14	Total other state restricted revenues		33,849,400
15	State general fund/general purpose	\$	0
16	(2) PARKS AND RECREATION DIVISION		
17	Recreational boating	\$	165,600
18	GROSS APPROPRIATION	\$	165,600
19	Appropriated from:		
20	Special revenue funds:		
21	Waterways account		165,600
22	State general fund/general purpose	\$	0
23	(3) RECREATIONAL LANDS AND INFRASTRUCTURE		
24	Fisheries infrastructure	\$	7,000,000
25	Recreational trail repairs and improvements		817,700
26	Snowmobile trail development and maintenance		1,907,900
27	State game and wildlife area infrastructure		10,000,000
28	GROSS APPROPRIATION	\$	19,725,600

1	Appropriated from:		
2	Special revenue funds:		
3	Game and fish protection account		17,000,000
4	Recreation improvement account		817,700
5	Snowmobile trail improvement fund		1,907,900
6	State general fund/general purpose	\$	0
7	(4) WATERWAYS BOATING PROGRAM		
8	State boating infrastructure and maintenance	\$	10,736,800
9	GROSS APPROPRIATION	\$	10,736,800
10	Appropriated from:		
11	Special revenue funds:		
12	Waterways account		10,736,800
13	State general fund/general purpose	\$	0
14	(5) ONE-TIME APPROPRIATIONS		
15	Wildlife management	\$	3,221,400
16	GROSS APPROPRIATION	\$	3,221,400
17	Appropriated from:		
18	Special revenue funds:		
19	Game and fish protection account		3,221,400
20	State general fund/general purpose	\$	0
21	Sec. 109. DEPARTMENT OF STATE POLICE		
22	(1) APPROPRIATION SUMMARY		
23	Full-time equated classified positions	0.0	
24	GROSS APPROPRIATION	\$	8,724,000
25	Interdepartmental grant revenues:		
26	Total interdepartmental grants and		
27	intradepartmental transfers		500,000
28	ADJUSTED GROSS APPROPRIATION	\$	7,224,000

1	Federal revenues:		
2	Total federal revenues		0
3	Special revenue funds:		
4	Total local revenues		0
5	Total private revenues		0
6	Total other state restricted revenues		7,224,000
7	State general fund/general purpose	\$	1,000,000
8	(2) LAW ENFORCEMENT SERVICES		
9	Biometrics and identification	\$	700,000
10	Criminal Justice Information Center		1,550,000
11	Forensic science		1,200,000
12	Grants and community services		2,774,000
13	Training operations		500,000
14	GROSS APPROPRIATION	\$	6,724,000
15	Appropriated from:		
16	Interdepartmental grant revenues:		
17	IDT, Michigan justice training fund		500,000
18	Special revenue funds:		
19	Auto theft prevention fund		2,774,000
20	Criminal Justice Information Center service		
21	fees		700,000
22	Michigan set aside fund		1,400,000
23	Sex offenders registration fund		150,000
24	State services fee fund		1,200,000
25	State general fund/general purpose	\$	0
26	(3) INFORMATION TECHNOLOGY		
27	Information technology services and projects	\$	1,000,000
28	GROSS APPROPRIATION	\$	1,000,000



1	Appropriated from:		
2	Special revenue funds:		
3	Criminal Justice Information Center service		
4	fees		1,000,000
5	State general fund/general purpose	\$	0
6	(4) ONE-TIME APPROPRIATIONS		
7	Personal protection order grants	\$	1,000,000
8	GROSS APPROPRIATION	\$	1,000,000
9	Appropriated from:		
10	State general fund/general purpose	\$	1,000,000
11	Sec. 110. DEPARTMENT OF TECHNOLOGY, MANAGEMENT,		
12	AND BUDGET		
13	(1) APPROPRIATION SUMMARY		
14	Full-time equated classified positions	0.0	
15	GROSS APPROPRIATION	\$	3,100,000
16	Interdepartmental grant revenues:		
17	Total interdepartmental grants and		
18	intradepartmental transfers		0
19	ADJUSTED GROSS APPROPRIATION	\$	3,100,000
20	Federal revenues:		
21	Total federal revenues		100,000
22	Special revenue funds:		
23	Total local revenues		0
24	Total private revenues		0
25	Total other state restricted revenues		0
26	State general fund/general purpose	\$	3,000,000
27	(2) DEPARTMENTAL ADMINISTRATION AND SUPPORT		
28	State archives	\$	100,000

1	GROSS APPROPRIATION	\$	100,000
2	Appropriated from:		
3	Federal revenues:		
4	Federal funds		100,000
5	State general fund/general purpose	\$	0
6	(3) ONE-TIME APPROPRIATIONS		
7	Gubernatorial transition costs	\$	3,000,000
8	GROSS APPROPRIATION	\$	3,000,000
9	Appropriated from:		
10	State general fund/general purpose	\$	3,000,000
11	Sec. 111. DEPARTMENT OF TRANSPORTATION		
12	(1) APPROPRIATION SUMMARY		
13	Full-time equated classified positions	0.0	
14	GROSS APPROPRIATION	\$	0
15	Interdepartmental grant revenues:		
16	Total interdepartmental grants and		
17	intradepartmental transfers		0
18	ADJUSTED GROSS APPROPRIATION	\$	0
19	Federal revenues:		
20	Total federal revenues		0
21	Special revenue funds:		
22	Total local revenues		0
23	Total private revenues		0
24	Total other state restricted revenues		0
25	State general fund/general purpose	\$	0
26	(2) ROAD AND BRIDGE PROGRAMS		
27	Local grade separation program	\$	40,000,000
28	Rail grade separation fund		(40,000,000)

1	GROSS APPROPRIATION	\$	0
2	Appropriated from:		
3	Special revenue funds:		
4	Local grade separation fund		40,000,000
5	Neighborhood roads fund		(40,000,000)
6	State general fund/general purpose	\$	0
7	(3) PUBLIC TRANSPORTATION DEVELOPMENT		
8	Infrastructure projects authority fund	\$	(65,000,000)
9	Infrastructure projects authority program		65,000,000
10	GROSS APPROPRIATION	\$	0
11	Appropriated from:		
12	Special revenue funds:		
13	Infrastructure projects authority fund		65,000,000
14	Neighborhood roads fund		(65,000,000)
15	State general fund/general purpose	\$	0
16	Sec. 112. DEPARTMENT OF MILITARY AND VETERANS		
17	AFFAIRS		
18	(1) APPROPRIATION SUMMARY		
19	Full-time equated classified positions	0.0	
20	GROSS APPROPRIATION	\$	152,000,000
21	Interdepartmental grant revenues:		
22	Total interdepartmental grants and		0
23	intradepartmental transfers		
24	ADJUSTED GROSS APPROPRIATION	\$	152,000,000
25	Federal revenues:		
26	Total federal revenues		0
27	Special revenue funds:		
28	Total local revenues		0



1	Total private revenues	0
2	Total other state restricted revenues	152,000,000
3	State general fund/general purpose	\$ 0
4	(2) ONE-TIME APPROPRIATIONS	
5	Selfridge Air National Guard base	\$ 152,000,000
6	GROSS APPROPRIATION	\$ 152,000,000
7	Appropriated from:	
8	Special revenue funds:	
9	State restricted revenues	152,000,000
10	State general fund/general purpose	\$ 0

PART 2

PROVISIONS CONCERNING APPROPRIATIONS

FOR FISCAL YEAR 2025-2026

GENERAL SECTIONS

Sec. 201. In accordance with section 30 of article IX of the state constitution of 1963, for the fiscal year ending September 30, 2026, total state spending from state sources under part 1 is \$502,215,400.00 and total state spending from state sources to be paid to local units of government is \$35,046,600.00. The following itemized statement identifies appropriations from which spending to local units of government will occur:

**DEPARTMENT OF ENVIRONMENT, GREAT LAKES, AND
ENERGY**

Executive direction	\$ 3,000,000
Water quality programs	1,331,000
Subtotal	\$ 4,331,000

DEPARTMENT OF HEALTH AND HUMAN SERVICES



1	CHILDREN'S SERVICES AGENCY - CHILD WELFARE	
2	Child care fund	\$ 10,194,100
3	Foster care payments	(10,200)
4	Strong families/safe children	2,800
5	PUBLIC ASSISTANCE	
6	State disability assistance payments	\$ (21,900)
7	LOCAL OFFICE OPERATIONS AND SUPPORT SERVICES	
8	Contractual services, supplies, and materials	\$ 3,000
9	BEHAVIORAL HEALTH PROGRAM ADMINISTRATION AND	
10	SPECIAL PROJECTS	
11	Behavioral health program administration	\$ (1,000)
12	BEHAVIORAL HEALTH SERVICES	
13	Autism services	\$ 16,786,000
14	Behavioral health community supports and	31,700
15	services	
16	Healthy Michigan plan - behavioral health	(6,651,200)
17	Medicaid mental health services	8,548,100
18	Medicaid substance use disorder services	(4,847,200)
19	Nursing home PAS/ARR-OBRA	1,059,200
20	STATE PSYCHIATRIC HOSPITALS AND FORENSIC MENTAL	
21	HEALTH SERVICES	
22	Caro Regional Mental Health Center -	\$ 12,900
23	psychiatric hospital - adult	
24	Center for forensic psychiatry	83,500
25	Kalamazoo Psychiatric Hospital - adult	3,300
26	Southeast Michigan state psychiatric hospital	7,200
27	Walter P. Reuther Psychiatric Hospital - adult,	(17,900)
28	children, and adolescents	

**HEALTH AND HUMAN SERVICES POLICY AND
INITIATIVES**

Domestic violence prevention and treatment	\$ 1,600
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LOCAL HEALTH AND ADMINISTRATIVE SERVICES

Local health services	\$ 127,100
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CHILDREN'S SPECIAL HEALTH CARE SERVICES

Medical care and treatment	\$ 38,400
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HEALTH SERVICES

Adult home help services	\$ (500)
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Ambulance services	3,300
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Dental services	11,600
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Federally qualified health centers	9,715,200
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Healthy Michigan plan	21,100
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Hospital services and therapy	18,000
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Long-term care services	(1,753,500)
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Medicaid home- and community-based services	(1,748,800)
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waiver

Physician services	(1,019,100)
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Transportation	118,800
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Subtotal	\$ 30,715,600
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TOTAL	\$ 35,046,600
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Sec. 202. The appropriations under this part and part 1 are subject to the management and budget act, 1984 PA 431, MCL 18.1101 to 18.1594.

Sec. 203. Funds appropriated in part 1 must be allocated and expended in a manner consistent with federal rules and regulations.

Sec. 204. Funds appropriated in part 1 are subject to applicable federal audit and reporting requirements. Prompt action



1 shall be taken if instances of noncompliance are identified,
2 including noncompliance identified in an audit finding. If any
3 instance of noncompliance is identified, including noncompliance
4 identified in an audit finding, the state budget director shall
5 take necessary and immediate action to rectify it. The state budget
6 director shall notify the senate and house appropriations
7 committees and the senate and house fiscal agencies when an
8 instance of noncompliance is identified.

9 Sec. 205. The state budget director shall take steps to ensure
10 that all state fiscal recovery funds allocated to this state under
11 the American rescue plan act of 2021, Public Law 117-2, are
12 expended by December 31, 2026, as required by law. Any state fiscal
13 recovery funds that would otherwise lapse after September 30, 2026
14 are automatically reappropriated for the same purpose as originally
15 authorized and available for expenditure through December 31, 2026
16 and any subsequent financial close out period.

17 Sec. 206. (1) To ensure that all state fiscal recovery funds
18 allocated to this state under the American rescue plan act of 2021,
19 Public Law 117-2, are expended by December 31, 2026, as required by
20 law, the state budget director may reallocate appropriated funds
21 for the purpose of fully utilizing state fiscal recovery funds that
22 are in jeopardy of not meeting the expenditure deadline for reasons
23 that may include, but are not limited to, completed projects coming
24 in under budget or funds unable to be fully used by subrecipients.
25 The state budget director shall reallocate any of the funds
26 reallocated under this subsection to the programs or purposes
27 specified in this section. Any funds reallocated are unappropriated
28 and immediately reappropriated for the following purposes:

29 (a) To reclassify general fund/general purpose appropriations



1 for payroll and covered benefits for eligible public health and
2 safety employees at the department of corrections.

3 (b) To reclassify general fund/general purpose appropriations
4 for payroll and covered benefits for eligible public health and
5 safety employees at the department of state police.

6 (2) All applicable guidance, implementation, and reporting
7 provisions of the American rescue plan act of 2021, Public Law 117-
8 2, must be followed for state fiscal recovery funds reallocated and
9 reappropriated under subsection (1).

10 (3) The state budget director shall notify the senate and
11 house appropriations committees not later than 10 business days
12 after making any reallocations under subsection (1). The
13 notification must include the authorized program under which funds
14 were originally appropriated, the amount of the reallocation, the
15 program or programs, or purpose, and the department to which the
16 funds are being reallocated under subsection (1), and the amount
17 reallocated to each program or purpose.

18
19 **DEPARTMENT OF ENVIRONMENT, GREAT LAKES, AND ENERGY**

20 Sec. 301. (1) Funds appropriated in part 1 for state sites
21 cleanup program must be deposited into the state site cleanup fund
22 from surplus funds in the cleanup and redevelopment trust fund in
23 accordance with section 3e of 1996 PA 384, MCL 445.573e. All funds
24 in the state site cleanup fund are appropriated and available for
25 expenditure to support the implementation of the cleanup of
26 environmentally contaminated sites, in accordance with section
27 20108c of the natural resources and environmental protection act,
28 1994 PA 451, MCL 324.20108c.

29 (2) As used in this section:



1 (a) "Cleanup and redevelopment trust fund" means the cleanup
2 and redevelopment trust fund created by section 3e of 1996 PA 384,
3 MCL 445.573e.

4 (b) "State site cleanup fund" means the state site cleanup
5 fund created by section 20108c of the natural resources and
6 environmental protection act, 1994 PA 451, MCL 324.20108c.

7 Sec. 302. The unexpended funds appropriated in part 1 for
8 environmental cleanup and redevelopment program are designated as
9 work project appropriations, and any unencumbered or unallotted
10 funds shall not lapse at the end of the fiscal year and shall be
11 available for expenditures for projects under this section until
12 the projects have been completed. The following is in compliance
13 with section 451a of the management and budget act, 1984 PA 431,
14 MCL 18.1451a:

15 (a) The purpose of the projects is to provide contaminated
16 site cleanup.

17 (b) The projects will be accomplished by utilizing contracts
18 with service providers.

19 (c) The total estimated cost of the project is \$25,000,000.00.

20 (d) The tentative completion date is September 30, 2030.

21 Sec. 303. The unexpended funds appropriated in part 1 for PFAS
22 and emerging contaminants are designated as a work project
23 appropriation, and any unencumbered or unallotted funds shall not
24 lapse at the end of the fiscal year and shall be available for
25 expenditure for the project under this section until the project
26 has been completed. The following is in compliance with section
27 451a of the management and budget act, 1984 PA 431, MCL 18.1451a:

28 (a) The purpose of the project is to address emerging
29 contaminants in drinking water.



1 (b) The project will be accomplished by utilizing state
2 employees or contracts with service providers, or both.

3 (c) The total estimated cost of the project is \$39,585,000.00.

4 (d) The tentative completion date is September 30, 2030.

5 Sec. 304. The unexpended funds appropriated in part 1 for
6 executive direction are designated as a work project appropriation,
7 and any unencumbered or unallotted funds shall not lapse at the end
8 of the fiscal year and shall be available for expenditures for
9 projects under this section until the projects have been completed.
10 The following is in compliance with section 451a of the management
11 and budget act, 1984 PA 431, MCL 18.1451a:

12 (a) The purpose of the project is to support a ports program
13 and implementation of the Michigan maritime strategy.

14 (b) The project will be accomplished by utilizing state
15 employees or contracts with service providers, or both.

16 (c) The total estimated cost of the project is \$3,000,000.00.

17 (d) The tentative completion date is September 30, 2030.

18 Sec. 305. The unexpended funds appropriated in part 1 for
19 material management programs are designated as a work project
20 appropriation, and any unencumbered or unallotted funds shall not
21 lapse at the end of the fiscal year and shall be available for
22 expenditures for projects under this section until the projects
23 have been completed. The following is in compliance with section
24 451a of the management and budget act, 1984 PA 431, MCL 18.1451a:

25 (a) The purpose of the project is to support the coal
26 combustion residuals program.

27 (b) The project will be accomplished by utilizing state
28 employees or contracts with service providers, or both.

29 (c) The total estimated cost of the project is \$263,000.00.



1 (d) The tentative completion date is September 30, 2030.

2 Sec. 306. The unexpended funds appropriated in part 1 for
3 energy programs are designated as a work project appropriation, and
4 any unencumbered or unallotted funds shall not lapse at the end of
5 the fiscal year and shall be available for expenditures for
6 projects under this section until the projects have been completed.
7 The following is in compliance with section 451a of the management
8 and budget act, 1984 PA 431, MCL 18.1451a:

9 (a) The purpose of the project is to provide training for
10 residential contractors.

11 (b) The project will be accomplished by utilizing state
12 employees or contracts with service providers, or both.

13 (c) The total estimated cost of the project is \$4,125,000.00.

14 (d) The tentative completion date is September 30, 2030.

15 Sec. 307. The unexpended funds appropriated in part 1 for
16 executive direction are designated as a work project appropriation,
17 and any unencumbered or unallotted funds shall not lapse at the end
18 of the fiscal year and shall be available for expenditures for
19 projects under this section until the projects have been completed.
20 The following is in compliance with section 451a of the management
21 and budget act, 1984 PA 431, MCL 18.1451a:

22 (a) The purpose of the project is to support stormwater
23 management in the Ox Creek Watershed.

24 (b) The project will be accomplished by utilizing state
25 employees or contracts with service providers, or both.

26 (c) The total estimated cost of the project is \$1,300,000.00.

27 (d) The tentative completion date is September 30, 2030.

28 Sec. 308. The unexpended funds appropriated in part 1 for
29 material management programs are designated as a work project



1 appropriation, and any unencumbered or unallotted funds shall not
2 lapse at the end of the fiscal year and shall be available for
3 expenditures for projects under this section until the projects
4 have been completed. The following is in compliance with section
5 451a of the management and budget act, 1984 PA 431, MCL 18.1451a:

6 (a) The purpose of the project is to replace high-emission
7 vehicles.

8 (b) The project will be accomplished by utilizing state
9 employees or contracts with service providers, or both.

10 (c) The total estimated cost of the project is \$685,000.00.

11 (d) The tentative completion date is September 30, 2030.

12 Sec. 309. The unexpended funds appropriated in part 1 for
13 material management programs are designated as a work project
14 appropriation, and any unencumbered or unallotted funds shall not
15 lapse at the end of the fiscal year and shall be available for
16 expenditures for projects under this section until the projects
17 have been completed. The following is in compliance with section
18 451a of the management and budget act, 1984 PA 431, MCL 18.1451a:

19 (a) The purpose of the project is to support a SMART
20 manufacturing grant program.

21 (b) The project will be accomplished by utilizing state
22 employees or contracts with service providers, or both.

23 (c) The total estimated cost of the project is \$2,000,000.00.

24 (d) The tentative completion date is September 30, 2030.

25 Sec. 310. The unexpended funds appropriated in part 1 for
26 material management programs are designated as a work project
27 appropriation, and any unencumbered or unallotted funds shall not
28 lapse at the end of the fiscal year and shall be available for
29 expenditures for projects under this section until the projects



1 have been completed. The following is in compliance with section
2 451a of the management and budget act, 1984 PA 431, MCL 18.1451a:

3 (a) The purpose of the project is to support a heavy-duty
4 vehicles program.

5 (b) The project will be accomplished by utilizing state
6 employees or contracts with service providers, or both.

7 (c) The total estimated cost of the project is \$4,406,000.00.

8 (d) The tentative completion date is September 30, 2030.

9 Sec. 311. The unexpended funds appropriated in part 1 for
10 material management programs are designated as a work project
11 appropriation, and any unencumbered or unallotted funds shall not
12 lapse at the end of the fiscal year and shall be available for
13 expenditures for projects under this section until the projects
14 have been completed. The following is in compliance with section
15 451a of the management and budget act, 1984 PA 431, MCL 18.1451a:

16 (a) The purpose of the project is to support food waste
17 reduction.

18 (b) The project will be accomplished by utilizing state
19 employees or contracts with service providers, or both.

20 (c) The total estimated cost of the project is \$700,000.00.

21 (d) The tentative completion date is September 30, 2030.

22 Sec. 312. The unexpended funds appropriated in part 1 for
23 Great Lakes restoration initiative are designated as a work project
24 appropriation, and any unencumbered or unallotted funds shall not
25 lapse at the end of the fiscal year and shall be available for
26 expenditures for projects under this section until the projects
27 have been completed. The following is in compliance with section
28 451a of the management and budget act, 1984 PA 431, MCL 18.1451a:

29 (a) The purpose of the project is to support work in the



1 Detroit and Rouge River areas of concern.

2 (b) The project will be accomplished by utilizing state
3 employees or contracts with service providers, or both.

4 (c) The total estimated cost of the project is \$6,500,000.00.

5 (d) The tentative completion date is September 30, 2030.

6 Sec. 313. The unexpended funds appropriated in part 1 for
7 federal - Great Lakes remedial action plan grants are designated as
8 a work project appropriation, and any unencumbered or unallotted
9 funds shall not lapse at the end of the fiscal year and shall be
10 available for expenditures for projects under this section until
11 the projects have been completed. The following is in compliance
12 with section 451a of the management and budget act, 1984 PA 431,
13 MCL 18.1451a:

14 (a) The purpose of the project is to support Great Lakes
15 remedial action plan grants.

16 (b) The project will be accomplished by utilizing state
17 employees or contracts with service providers, or both.

18 (c) The total estimated cost of the project is \$1,162,000.00.

19 (d) The tentative completion date is September 30, 2030.

20 Sec. 314. The unexpended funds appropriated in part 1 for
21 water quality programs are designated as a work project
22 appropriation, and any unencumbered or unallotted funds shall not
23 lapse at the end of the fiscal year and shall be available for
24 expenditures for projects under this section until the projects
25 have been completed. The following is in compliance with section
26 451a of the management and budget act, 1984 PA 431, MCL 18.1451a:

27 (a) The purpose of the project is to provide grants to
28 municipalities for sewer and stormwater infrastructure projects.

29 (b) The project will be accomplished by utilizing state



employees or contracts with service providers, or both.

(c) The total estimated cost of the project is \$1,331,000.00.

(d) The tentative completion date is September 30, 2030.

Sec. 315. The unexpended funds appropriated in part 1 for water state revolving funds are designated as a work project appropriation, and any unencumbered or unallotted funds shall not lapse at the end of the fiscal year and shall be available for expenditure for the project under this section until the project has been completed. The following is in compliance with section 451a of the management and budget act, 1984 PA 431, MCL 18.1451a:

(a) The purpose of the project is to support drinking water and wastewater large-scale construction projects.

(b) The project will be accomplished by utilizing state employees or contracts with service providers, or both.

(c) The total estimated cost of the project is \$123,273,000.00.

(d) The tentative completion date is September 30, 2030.

Sec. 316. The unexpended funds appropriated in part 1 for state sites cleanup program are designated as work project appropriations, and any unencumbered or unallotted funds shall not lapse at the end of the fiscal year and shall be available for expenditures for projects under this section until the projects have been completed. The following is in compliance with section 451a of the management and budget act, 1984 PA 431, MCL 18.1451a:

(a) The purpose of the project is to provide contaminated site cleanup at state-owned properties.

(b) The projects will be accomplished by utilizing contracts with service providers.

(c) The total estimated cost of all projects is



1 \$25,256,000.00.

2 (d) The tentative completion date is September 30, 2030.

3
4 **DEPARTMENT OF HEALTH AND HUMAN SERVICES**

5 Sec. 401. (1) The funds appropriated in part 1 for Medicaid
6 work requirement grant shall be used for administrative costs
7 directly associated with establishing systems and processes
8 necessary to implement the work and community engagement
9 requirements and other changes to eligibility determinations or
10 redeterminations required by the 2025 budget reconciliation act,
11 Public Law 119-21.

12 (2) The unexpended funds appropriated in part 1 for Medicaid
13 work requirement grant are designated as a work project
14 appropriation, and any unencumbered or unallotted funds shall not
15 lapse at the end of the fiscal year and shall be available for
16 expenditures for projects under this section until the projects
17 have been completed. The following is in compliance with section
18 451a of the management and budget act, 1984 PA 431, MCL 18.1451a:

19 (a) The purpose of the work project is to implement the work
20 and community engagement requirements and other changes to
21 eligibility determinations or redeterminations required by the 2025
22 budget reconciliation act, Public Law 119-21.

23 (b) The work project will be accomplished by utilizing state
24 employees or contracts with service providers, or both.

25 (c) The total estimated completion cost of the work project is
26 \$5,000,000.00.

27 (d) The tentative completion date for the work project is
28 September 30, 2030.

29 Sec. 402. In addition to the funds appropriated in part 1,



1 there is appropriated an amount not to exceed \$100,000,000.00 for
2 state restricted Medicaid caseload reserve fund contingency
3 authorization. Amounts appropriated under this section are not
4 available for expenditure until they have been transferred to
5 another line item in part 1 under section 393(2) of the management
6 and budget act, 1984 PA 431, MCL 18.1393. It is the intent of the
7 legislature that this authorization must only be used to address
8 caseload costs in the traditional Medicaid program and the Healthy
9 Michigan plan.

10 Sec. 403. (1) From the funds appropriated in part 1 for
11 community health screenings, the department shall allocate
12 \$5,000,000.00 as a grant to a nonprofit organization that is
13 organized under the laws of this state, is exempt from federal
14 income tax under section 501(c)(3) of the internal revenue code of
15 1986, 26 USC 501, and is located in a city with a population
16 between 20,000 and 24,000 and in a county with a population between
17 1,200,000 and 1,300,000 according to the most recent federal
18 decennial census, to conduct community health screenings and to
19 collect and distribute public health data on underserved urban and
20 rural populations, first responders, and veterans, to the
21 department.

22 (2) Funds appropriated for community health screenings are
23 considered work project funds, do not lapse at the end of the
24 fiscal year, and are available for expenditures for projects under
25 this section until the projects have been completed. The following
26 is in compliance with section 451a of the management and budget
27 act, 1984 PA 431, MCL 18.1451a:

28 (a) The purpose of the work project is to provide funding for
29 health screenings at no cost to the public in order to reduce



1 health disparities in rural or medically underserved communities.

2 (b) The work project will be accomplished through partnerships
3 with nonprofit agencies.

4 (c) The total estimated cost of the work project is
5 \$5,000,000.00.

6 (d) The tentative completion date for the work project is
7 September 30, 2030.

8 Sec. 404. From the funds appropriated in part 1 for
9 implementation of maternal health policy changes, the department
10 shall allocate \$299,700.00 to implement 2024 PA 256.

11 Sec. 405. (1) From the funds appropriated in part 1 for
12 underserved healthcare facility project, the department shall
13 allocate \$1,500,000.00 to a nonprofit organization organized under
14 the laws of this state that is exempt from federal income tax under
15 section 501(c)(3) of the internal revenue code of 1986, 26 USC 501,
16 to support a pediatric and sedation dentistry clinic. The pediatric
17 and sedation dentistry clinic must serve uninsured and underinsured
18 children and adolescents and eligible adults who have a mental
19 illness, severe emotional disturbance, intellectual developmental
20 disorder, or co-occurring substance use disorder. To be eligible
21 for the funds under this section, the nonprofit organization must
22 meet all of the following requirements:

23 (a) Have a stated mission of providing medical, behavioral,
24 and mental health services, as well as other related support
25 services, to underserved populations in Detroit, Wayne County, and
26 surrounding counties, and throughout Michigan.

27 (b) Have its administrative office located in a county with a
28 population of greater than 1,750,000 and in a city with a
29 population between 109,000 and 111,000 according to the most recent



1 federal decennial census.

2 (2) The unexpended funds appropriated in part 1 for
3 underserved healthcare facility project are designated as a work
4 project appropriation. Unencumbered or unallotted funds shall not
5 lapse at the end of the fiscal year and shall be available for
6 expenditures under this section until the project has been
7 completed. All of the following are in compliance with section 451a
8 of the management and budget act, 1984 PA 431, MCL 18.1451a:

9 (a) The purpose of the project is to support a pediatric and
10 sedation dentistry clinic.

11 (b) The project will be accomplished by a CARF International
12 accredited wellness center.

13 (c) The estimated cost of the project is \$1,500,000.00.

14 (d) The tentative completion date is September 30, 2030.

15 Sec. 406. (1) From the funds appropriated in part 1 for first
16 responder and public safety staff mental health, the department
17 shall allocate \$100.00 for a grant program to support firefighters,
18 police officers, emergency medical services personnel, public
19 safety tele-communicators, local correctional officers, juvenile
20 detention employees, prosecutors, and individuals working on
21 special teams to address crimes such as internet sex crimes, sexual
22 crimes against children, or traffic fatalities suffering from post-
23 traumatic stress syndrome and other mental health conditions. The
24 grant program must primarily provide grants to behavioral health
25 providers and may also include funding to the Michigan crisis and
26 access line established under section 165 of the mental health
27 code, 1974 PA 258, MCL 330.1165, to improve information and
28 referrals for these services. The department shall coordinate and
29 integrate the grant program with the Michigan crisis and access



1 line established under section 165 of the mental health code, 1974
2 PA 258, MCL 330.1165.

3 (2) The unexpended funds appropriated in part 1 for first
4 responder and public safety staff mental health are designated as a
5 work project appropriation. Unencumbered or unallotted funds shall
6 not lapse at the end of the fiscal year and shall be available for
7 expenditures under this section until the project has been
8 completed. All of the following are in compliance with section 451a
9 of the management and budget act, 1984 PA 431, MCL 18.1451a:

10 (a) The purpose of the work project is to ensure that first
11 responder and public safety staff who are dealing with post-
12 traumatic stress syndrome and other mental health conditions have
13 access to enhanced mental health services.

14 (b) The work project will be accomplished by utilizing state
15 employees, contracting with vendors, or working with local
16 partners.

17 (c) The estimated cost of the work project is \$100.00.

18 (d) The tentative completion date is September 30, 2029.

19
20 **DEPARTMENT OF LABOR AND ECONOMIC OPPORTUNITY**

21 Sec. 501. The unexpended funds appropriated in part 1 for
22 state historic preservation office grant program are designated as
23 a work project appropriation, and any unencumbered or unallotted
24 funds shall not lapse at the end of the fiscal year and shall be
25 available for expenditure for the project under this section until
26 the project has been completed. The following is in compliance with
27 section 451a of the management and budget act, 1984 PA 431, MCL
28 18.1451a:

29 (a) The purpose of the project is to support stabilization and



1 rehabilitation of historic properties in rural communities.

2 (b) The project will be accomplished by utilizing state
3 employees or contracts with service providers, or both.

4 (c) The total estimated cost of the project is \$750,000.00.

5 (d) The tentative completion date is September 30, 2031.

6 Sec. 502. All funds received in the prevailing wage fund
7 created in section 25a of 2023 PA 10, MCL 408.1125a, are
8 appropriated for the purposes allowable under 25a of 2023 PA 10,
9 MCL 408.1125a.

10 Sec. 503. (1) The one-time funds appropriated in part 1 for
11 office of future mobility and electrification shall be used to
12 further the state's emerging aviation and advanced air mobility
13 sector in alignment with Executive Directive No. 2025-4. Funds may
14 be used for advanced air mobility infrastructure deployment to
15 enable Beyond Visual Line of Sight operations, for efforts that
16 further develop this emerging sector, and workforce development
17 strategies to aid in this industry transition.

18 (2) The office of future mobility and electrification shall
19 collaborate with other state departments, including the department
20 of military and veterans affairs and the department of
21 transportation, on the implementation of this program. As necessary
22 to improve the administration or oversight of any of the dollars
23 appropriated under this part and part 1, the department may adopt a
24 memorandum of understanding with another state department to
25 perform the required duties under this section. Any grant money
26 that is awarded to a state department is appropriated in that
27 department for the purpose of the intended grant.

28 (3) In addition to the funds appropriated in part 1, federal
29 funds received by the office of future mobility and



electrification, or another state department or agency, for the purposes of advancing the state's aviation and advanced air mobility sector are appropriated for the purposes outlined in the federal grant award. Unexpended federal funds received under this section may be carried forward into the succeeding fiscal year.

(4) The unexpended funds appropriated in part 1 for the office of future mobility and electrification are designated as a work project appropriation, and any unencumbered or unallotted funds shall not lapse at the end of the fiscal year and shall be available for expenditures for projects under this section until the projects have been completed. The following is in compliance with section 451a of the management and budget act, 1984 PA 431, MCL 18.1451a:

(a) The purpose of the project is to support the emerging aviation and advanced air mobility sector.

(b) The project will be accomplished by utilizing state employees, or contracts with service providers, or both.

(c) The total estimated cost of the project is \$1,000,000.00.

(d) The tentative completion date is September 30, 2030.

DEPARTMENT OF NATURAL RESOURCES

Sec. 601. The unexpended funds appropriated in part 1 for wildlife management are designated as a work project appropriation, and any unencumbered or unallotted funds shall not lapse at the end of the fiscal year and shall be available for expenditure for the project under this section until the project has been completed. The following is in compliance with section 451a of the management and budget act, 1984 PA 431, MCL 18.1451a:

(a) The purpose of the project is to support Michigan's



1 participation in the Chronic Wasting Disease Research Consortium
2 study.

3 (b) The project will be accomplished by utilizing state
4 employees, contracts with service providers, or grants.

5 (c) The total estimated cost of the project is \$3,221,400.00.

6 (d) The tentative completion date is September 30, 2030.
7

8 **DEPARTMENT OF STATE POLICE**

9 Sec. 651. From the funds appropriated in part 1 for personal
10 protection order grants, \$1,000,000.00 must be allocated by the
11 department of state police to reimburse law enforcement agencies
12 for the cost of serving personal protection orders. It is the
13 intent of the legislature that the department ensure that the sum
14 total of grants issued under this section and under section 454(12)
15 of article 16 of 2025 PA 22 not exceed \$1,000,000.00.
16

17 **DEPARTMENT OF TECHNOLOGY, MANAGEMENT, AND BUDGET**

18 Sec. 701. The unexpended funds appropriated in part 1 for
19 gubernatorial transition costs are designated as a work project
20 appropriation, and any unencumbered or unallotted funds shall not
21 lapse at the end of the fiscal year and shall be available for
22 expenditures for projects under this section until the projects
23 have been completed. The following is in compliance with section
24 451a of the management and budget act, 1984 PA 431, MCL 18.1451a:

25 (a) The purpose of the project is to provide for executive
26 office transition costs.

27 (b) The projects will be accomplished by utilizing state
28 employees or contracts with service providers, or both.

29 (c) The total estimated cost of the project is \$3,000,000.00.



1 (d) The tentative completion date is September 30, 2030.

2 Sec. 702. Pursuant to section 352 of the management and budget
3 act, 1984 PA 431, MCL 18.1352, there is appropriated from the
4 countercyclical budget and economic stabilization fund created
5 under section 351 of the management and budget act, 1984 PA 431,
6 MCL 18.1351, to the Medicaid caseload reserve fund created by
7 section 901 the sum of \$200,000,000.00. The annual growth rate of
8 adjusted personal income for the current calendar year was
9 estimated to be less than 0% at the most recent consensus revenue
10 estimating conference. The amount appropriated in this part is less
11 than the maximum allowed under section 352(2) of the management and
12 budget act, 1984 PA 431, MCL 18.1352.

13 Sec. 703. Pursuant to section 352 of the management and budget
14 act, 1984 PA 431, MCL 18.1352, there is appropriated from the
15 countercyclical budget and economic stabilization fund created
16 under section 351 of the management and budget act, 1984 PA 431,
17 MCL 18.1351, to the HR-1 costs fund created by section 902 the sum
18 of \$150,000,000.00. The annual growth rate of adjusted personal
19 income for the current calendar year was estimated to be less than
20 0% at the most recent consensus revenue estimating conference. The
21 amount appropriated in this part is less than the maximum allowed
22 under section 352(2) of the management and budget act, 1984 PA 431,
23 MCL 18.1352.

24
25 **DEPARTMENT OF TRANSPORTATION**

26 Sec. 801. (1) Funds from the neighborhood roads fund must be
27 distributed and are appropriated to the local grade separation
28 fund, comprehensive transportation fund, infrastructure projects
29 authority fund, and the state trunkline fund, in accordance with



1 this part and part 1, and section 13c of 1951 PA 51, MCL 247.663c.

2 (2) As used in this section:

3 (a) "Comprehensive transportation fund" means the
4 comprehensive transportation fund created in section 10b of 1951 PA
5 51, MCL 247.660b.

6 (b) "Infrastructure projects authority fund" means the
7 infrastructure projects authority fund created by section 13c of
8 1951 PA 51, MCL 247.663c.

9 (c) "Local grade separation fund" means the local grade
10 separation fund created by section 11i of 1951 PA 51, MCL 247.661i.

11 (d) "Neighborhood roads funds" means the neighborhood roads
12 fund created by section 13c of 1951 PA 51, MCL 247.663c.

13 (e) "State trunkline fund" means the state trunkline fund
14 created by section 11 of 1951 PA 51, MCL 247.661.

15 Sec. 802. At the close of the fiscal year, any unencumbered
16 and unexpended balance in the neighborhood roads fund not
17 previously allocated under section 13c(5)(a) to (e) of 1951 PA 51,
18 MCL 247.663c, remains in the neighborhood roads fund and carries
19 forward and is appropriated to local road agencies and the state
20 trunkline fund according to section 13c(5) of 1951 PA 51, MCL
21 247.663c.

22 Sec. 803. (1) At the close of the fiscal year, any
23 unencumbered and unexpended balance in the movable bridge fund
24 remains in the movable bridge fund and carries forward and is
25 appropriated for the purposes described in section 11g(3)(b) of
26 1951 PA 51, MCL 247.661g.

27 (2) As used in this section, "moveable bridge fund" means the
28 moveable bridge fund created by section 11g of 1951 PA 51, MCL
29 247.661g.



DEPARTMENT OF TREASURY

Sec. 901. (1) The Medicaid caseload reserve fund is created in the state treasury. The purpose of the fund is to support Medicaid caseload costs that occur at levels above appropriated amounts.

(2) Money may be spent from the fund only on appropriation.

(3) The state treasurer shall deposit money and other assets received under section 702 or from any other source in the fund. The state treasurer shall direct the investment of money in the fund and credit interest and earnings from the investments to the fund.

(4) Money in the fund at the close of the fiscal year remains in the fund and does not lapse to the general fund.

(5) As used in this section, "fund" means the Medicaid caseload reserve fund created by subsection (1).

Sec. 902. (1) The HR-1 costs fund is created within the state treasury. The purpose of the fund is to support costs that occur as a result of administering or implementing the 2025 budget reconciliation act, Public Law 119-21.

(2) Money may be spent from the fund only on appropriation.

(3) The state treasurer shall deposit money and other assets received under section 703 or from any other source in the fund. The state treasurer shall direct the investment of money in the fund and credit interest and earnings from the investments to the fund.

(4) Money in the fund at the close of the fiscal year remains in the fund and does not lapse to the general fund.

(5) As used in this section, "fund" means the HR-1 costs fund created by subsection (1).



DEPARTMENT OF MILITARY AND VETERANS AFFAIRS

Sec. 1001. (1) Funds appropriated in part 1 for Selfridge Air National Guard Base must be used to support costs of runway encroachment solutions while complying with air installation compatible use zone program recommendations, including, but not limited to, all of the following:

(a) Capital improvements necessary to shift the runway to the north and repair the airfield and nonairfield features of the base and surrounding community impacted by the shift.

(b) Infrastructure projects including, but not limited to, roadways repairs, vehicle access to the base and to the museum, stormwater drain and culvert repairs and modernization, force protection features, airfield features, and taxiway extensions.

(2) The funds appropriated in part 1 for Selfridge Air National Guard base may be spent only if the state budget director determines that funds sufficient to make necessary improvements to Selfridge Air National Guard base as described under subsection (1) were not appropriated under Senate Bill No. 865 of the 103rd Legislature for the fiscal year ending September 30, 2026.

(3) Unexpended funds appropriated in part 1 for Selfridge Air National Guard Base are designated as a work project appropriation. Unencumbered or unallotted funds shall not lapse at the end of the fiscal year and shall be available for expenditures under this section until the project has been completed. The following is in compliance with section 451a of the management and budget act, 1984 PA 431, MCL 18.1451a:

(a) The purpose of the project is to support costs of runway encroachment solutions.



1 (b) The project will be accomplished by utilizing state
2 employees, contracts with service providers, or both.

3 (c) The total estimated cost of the project is
4 \$152,000,000.00.

5 (d) The tentative completion date is September 30, 2027.

6 Sec. 1002. (1) The department shall identify 1 or more of the
7 following methods for funding Selfridge Air National Guard Base
8 under part 1:

9 (a) Unobligated work project account balances associated with
10 the strategic outreach and attraction reserve fund created in
11 section 4 of the Michigan trust fund act, 2000 PA 489, MCL 12.254,
12 or other lapsed account balances determined by the state budget
13 director.

14 (b) Unobligated general fund/general purpose or federal
15 appropriations that are eligible to support Selfridge Air National
16 Guard Base infrastructure improvements.

17 (c) Special obligation bond financing through the Michigan
18 strategic fund created in section 5 of the Michigan strategic fund
19 act, 1984 PA 270, MCL 125.2005.

20 (2) The department must make every effort to fully utilize the
21 funding options and available revenues identified in subsection
22 (1). After identifying 1 or more of the funding sources under
23 subsection (1) and amounts available from those funding sources
24 that will be used to support Selfridge Air National Guard Base, the
25 department shall identify any remaining costs.

26 (3) Pursuant to section 352 of the management and budget act,
27 1984 PA 431, MCL 18.1352, there is appropriated from the
28 countercyclical budget and economic stabilization fund created
29 under section 351 of the management and budget act, 1984 PA 431,



1 MCL 18.1351, an amount equal to the amount identified by the
2 department under subsection (2) to support remaining costs for
3 Selfridge Air National Guard Base appropriated in part 1. The
4 annual growth rate for the current calendar year was estimated to
5 be less than 0% at the most recent consensus revenue estimating
6 conference.

7
8 **REPEALERS**

9 Sec. 1101. Sections 1964, 1968, and 1977 of article 6 of 2026
10 PA 22 are repealed.

11 Enacting section 1. This act does not take effect unless
12 Senate Bill No. 878 of the 103rd Legislature is enacted into law.

